

IMMEDIATE FINANCE ARRANGEMENT STRATEGY

A STRATEGY USING TAX-EXEMPT LIFE INSURANCE

YOUR CURRENT SITUATION

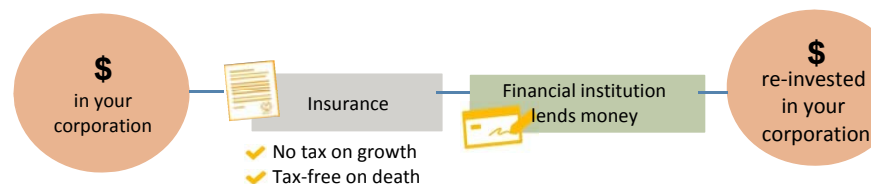
You are the owner or key shareholder of a successful private corporation that generates a significant annual surplus and has significant assets in taxable investments. You are in good health and require permanent life insurance. You want to protect the value of your corporation and also want assets available to grow your business, if and when new opportunities arise. A tax-exempt insurance policy may help you grow assets within your corporation, but you are concerned with tying money up in an insurance policy.

HOW THE IMMEDIATE FINANCE ARRANGEMENT WORKS

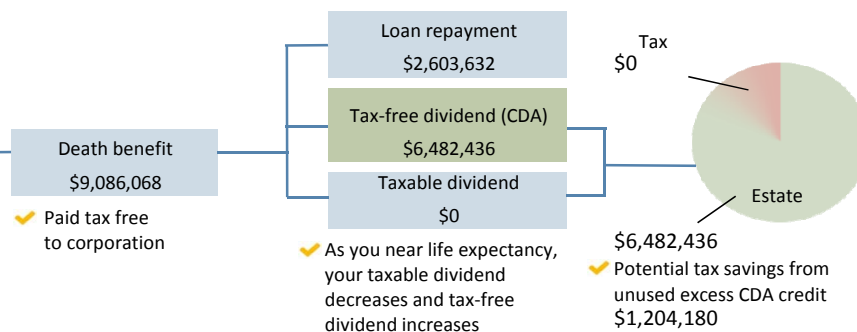
Your corporation purchases a permanent tax-exempt life insurance policy on you, the key person. The corporation will be the owner and beneficiary of the policy. Payments into the policy are made using your corporation's cash flow or retained earnings. Using the insurance policy and additional assets as collateral, the corporation secures a loan or line of credit. The loan proceeds may be invested back into the corporation's business to produce income. If the loan proceeds are used for such income-earning investment purposes, the interest on the loan and all or a portion of the policy payments may be tax-deductible.¹ You must ensure the loan and the collateral assignment of the life insurance policy meet all requirements for deductibility under the *Income Tax Act*.

Growth within the policy can accumulate on a tax-preferred basis. On death, the tax-free death benefit pays the outstanding loan plus accumulated interest. Any remaining death benefit is payable to the corporation. The full amount of the death benefit, less the policy's adjusted cost basis, creates a credit to the corporation's Capital Dividend Account (CDA), which can be used to pay out tax-free capital dividends to shareholders or your estate.

During your lifetime



On your death - at age 85



The values displayed in this visual are detailed in the ledger pages of this presentation

¹ The lesser of the net cost of pure insurance (NCPI), or the policy payments may be deductible.

BENEFITS OF PERMANENT LIFE INSURANCE:

Permanent life insurance is the driving force behind the success of the Immediate Finance Arrangement. Here's a summary of the benefits that life insurance can provide:



TAX-PREFERRED ASSET GROWTH

There is no tax payable on the growth of the policy's cash value as long as it remains within the policy and the policy is funded within legislative limits. This helps reduce taxable income, potentially resulting in greater asset growth.



TAX DEDUCTIBILITY THROUGH COLLATERAL ASSIGNMENT

When collateral loan proceeds are being used to earn income from a business or property, interest on the loan may be tax deductible. Additionally, when the policy is used to secure the collateral loan, some or all of the life insurance premiums may also be deductible. The resulting savings allow you or the corporation to access cash in a tax-efficient manner.



TAX SAVINGS THROUGH COLLATERAL ASSIGNMENT

When you need to access the accumulated value of the life insurance policy, this can be achieved by collaterally assigning the policy to a third party lender. Currently, the Income Tax Act of Canada does not treat collateral loan proceeds as income, so this amount is potentially tax free to the borrower. This may help to reduce income taxes when accessing cash during your lifetime.



TAX SAVINGS ON DEATH

On death, the policy first pays the loan using the tax-free death benefit. The corporation receives the remaining death benefit and allows some or all of it to be paid as a tax-free capital dividend. In many cases, the insurance provides a greater after-tax amount to your estate than using taxable investments.

ABOUT THIS PRESENTATION

This presentation was prepared for information purposes only. It is not an insurance contract or an offer to provide insurance. It does not form any part of any policy that may be issued and is not intended to provide or replace professional legal or tax advice. For your specific situation, please consult your own tax and legal advisors.

POLICY DETAILS

Insured Person:	Total initial annual premium:
Valued Client, age 38	\$118,400
Product:	Dividend Scale:
Sun Par Protector II	Current
Insurance Coverage Amount:	
\$5,000,000	

ABOUT THIS PRESENTATION

Borrowing assumptions	Tax assumptions
Annual advance:	Corporate investment tax rate: 50.27%
Collateral loan interest rate:	Shareholder dividend tax rate: 46.25%
Reinvestment of loan proceeds:	
Advance amount equal to net interest:	
Interest deductibility:	
NCPI deductibility:	
Company type:	
Policy cash value collateral %:	
Additional assets collateral %:	
Loan repayment:	
Excess CDA:	



COMPARISON OF VALUES

The Immediate Finance Arrangement strategy may be a better way to achieve your objectives. Compare the value of traditional insurance funding to funding using the strategy in the ledger below. Strategy liquidation assumes the cancellation of the life insurance policy and liquidation of the investment balance during the lifetime of the insured person.

		Life insurance without IFA Strategy					IFA Strategy					
Policy year	Age	Policy premium payments	Policy cash surrender value	Policy death benefit	Capital dividend account	Net to estate ¹	Outstanding loan balance	Additional collateral required	Net cash outlay	Net strategy value at liquidation	Net to corporation on death	Total strategy proceeds to estate ¹
1	39	118,400	71,909	5,276,903	5,160,673	5,223,147	123,136	64,909	0	-51,227	5,153,767	5,156,961
2	40	118,400	148,993	5,555,138	5,323,333	5,447,928	248,791	127,442	0	-99,798	5,306,347	5,314,203
3	41	118,400	231,573	5,834,979	5,488,178	5,674,584	376,958	187,270	0	-145,385	5,458,021	5,471,968
4	42	118,400	319,960	6,116,673	5,655,593	5,903,424	507,679	244,127	0	-187,719	5,608,994	5,630,546
5	43	118,400	422,528	6,400,453	5,825,842	6,134,695	640,989	289,682	0	-218,461	5,759,464	5,790,164
6	44	118,400	534,979	6,686,419	5,999,173	6,368,568	776,931	328,277	0	-241,952	5,909,488	5,950,968
7	45	118,400	669,285	6,975,046	6,176,216	6,605,587	915,537	347,979	0	-246,252	6,059,509	6,113,486
8	46	118,400	817,979	7,266,627	6,357,425	6,846,121	1,056,842	356,290	0	-238,863	6,209,785	6,278,069
9	47	118,400	981,715	7,561,320	6,543,059	7,090,374	1,200,874	352,589	0	-219,159	6,360,446	6,444,905
10	48	118,400	1,161,110	7,859,621	6,733,845	7,338,950	1,347,667	336,298	0	-204,320	6,511,954	6,614,578
11	49	0	1,239,593	7,834,293	6,720,789	7,319,297	1,374,108	287,193	0	-197,900	6,460,185	6,580,714
12	50	0	1,328,636	7,815,503	6,715,812	7,306,896	1,400,891	227,910	0	-187,346	6,414,612	6,553,917
13	51	0	1,428,567	7,803,127	6,718,940	7,301,691	1,428,052	158,157	0	-172,604	6,375,075	6,534,113
14	52	0	1,539,779	7,797,198	6,730,476	7,303,839	1,455,578	77,530	0	-153,605	6,341,620	6,521,466
15	53	0	1,662,703	7,797,735	6,750,578	7,313,425	1,483,447	0	0	-130,179	6,314,288	6,516,072
16	54	0	1,740,248	7,804,780	6,779,666	7,330,665	1,511,645	0	0	-130,895	6,293,135	6,518,156
17	55	0	1,821,943	7,817,669	6,816,488	7,354,623	1,540,136	0	0	-130,790	6,277,533	6,526,800
18	56	0	1,907,963	7,836,410	6,861,368	7,385,453	1,568,975	0	0	-129,991	6,267,435	6,542,129
19	57	0	1,998,412	7,861,008	6,914,501	7,423,249	1,598,134	0	0	-128,514	6,262,874	6,564,252
20	58	0	2,093,541	7,891,416	6,976,081	7,468,074	1,627,594	0	0	-126,337	6,263,822	6,593,242
21	59	0	2,193,421	7,927,717	7,046,546	7,520,175	1,657,330	0	0	-123,577	6,270,387	6,629,360
22	60	0	2,298,196	7,969,776	7,126,159	7,579,603	1,687,306	0	0	-120,326	6,282,470	6,672,676
23	61	0	2,407,951	8,017,634	7,215,357	7,646,581	1,717,475	0	0	-116,697	6,300,159	6,723,438
24	62	0	2,523,039	8,071,647	7,314,977	7,721,687	1,747,794	0	0	-112,709	6,323,853	6,782,248
25	63	0	2,643,631	8,132,035	7,425,650	7,805,332	1,778,316	0	0	-108,539	6,353,719	6,849,487
26	64	0	2,770,061	8,198,968	7,548,079	7,897,932	1,809,401	0	0	-104,648	6,389,567	6,925,379
27	65	0	2,902,539	8,272,690	7,683,125	8,000,016	1,841,071	0	0	-101,264	6,431,619	7,010,440
28	66	0	3,041,338	8,353,325	7,831,608	8,112,031	1,873,341	0	0	-98,616	6,479,984	7,105,110
29	67	0	3,186,548	8,440,778	7,994,204	8,234,238	1,906,226	0	0	-97,063	6,534,552	7,209,641
30	68	0	3,338,485	8,535,453	8,172,159	8,367,430	1,939,743	0	0	-96,886	6,595,710	7,324,818
31	69	0	3,502,354	8,645,330	8,292,110	8,599,078	1,973,907	0	0	-73,223	4,171,423	4,938,103
32	70	0	3,673,760	8,762,784	8,429,183	8,740,406	2,007,400	0	0	-47,424	4,255,384	5,061,428
33	71	0	3,852,914	8,887,873	8,569,844	8,871,660	2,041,560	0	0	-20,929	4,346,313	5,194,321
34	72	0	4,040,129	8,992,791	8,674,665	8,953,208	2,076,431	0	0	6,183	4,444,360	5,337,126
35	73	0	4,235,546	9,103,676	8,783,237	9,062,398	2,112,033	0	0	33,735	4,549,643	5,490,180
36	74	0	4,439,812	9,211,082	8,896,530	9,170,977	2,148,387	0	0	61,820	4,662,695	5,654,219
37	75	0	4,653,410	9,326,496	9,011,496	9,281,496	2,185,511	0	0	128,630	4,783,985	5,794,784
38	76	0	4,876,498	9,443,931	9,126,931	9,392,931	2,223,426	0	0	201,657	4,913,505	5,941,840
39	77	0	5,109,362	9,569,468	9,243,468	9,504,468	2,262,152	0	0	278,733	5,051,316	6,097,561
40	78	0	5,352,322	9,699,288	9,369,288	9,620,288	2,301,710	0	0	360,000	5,197,578	6,262,119
41	79	0	5,605,921	9,834,908	9,494,908	9,774,908	2,342,119	0	0	445,705	5,352,789	6,436,019
42	80	0	5,871,130	9,971,187	9,631,187	9,911,187	2,383,401	0	0	536,312	5,517,786	6,620,109
43	81	0	6,148,575	10,108,590	9,768,590	10,048,590	2,425,576	0	0	632,110	5,693,014	6,814,843

COMPARISON OF VALUES

The Immediate Finance Arrangement strategy may be a better way to achieve your objectives. Compare the value of traditional insurance funding to funding using the strategy in the ledger below. Strategy liquidation assumes the cancellation of the life insurance policy and liquidation of the investment balance during the lifetime of the insured person.

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Policy year	Age	Policy premium payments	Policy cash surrender value	Policy death benefit	Capital dividend account	Net to estate ¹	Outstanding loan balance	Additional collateral required	Net cash outlay	Net strategy value at liquidation	Net to corporation on death	Total strategy proceeds to estate ¹
44	82	0	6,436,978	8,346,551	8,346,551	8,346,551	2,468,666	0	0	732,443	5,877,885	7,019,643
45	83	0	6,734,788	8,584,252	8,584,252	8,584,252	2,512,692	0	0	836,518	6,071,560	7,233,680
46	84	0	7,041,162	8,830,913	8,830,913	8,830,913	2,557,674	0	0	943,896	6,273,239	7,456,163
47	85	0	7,355,586	9,086,068	9,086,068	9,086,068	2,603,632	0	0	1,054,301	6,482,436	7,686,616
48	86	0	7,677,574	9,349,261	9,349,261	9,349,261	2,650,585	0	0	1,167,472	6,698,676	7,924,571
49	87	0	8,005,965	9,619,350	9,619,350	9,619,350	2,698,554	0	0	1,282,812	6,920,796	8,168,877
50	88	0	8,339,795	9,895,511	9,895,511	9,895,511	2,747,558	0	0	1,399,823	7,147,953	8,418,699
51	89	0	8,678,030	10,176,783	10,176,783	10,176,783	2,797,614	0	0	1,517,970	7,379,169	8,673,065
52	90	0	9,019,110	10,461,310	10,461,310	10,461,310	2,848,743	0	0	1,636,460	7,612,567	8,930,111
53	91	0	9,361,294	10,747,761	10,747,761	10,747,761	2,900,963	0	0	1,754,409	7,846,798	9,188,494
54	92	0	9,705,875	11,034,469	11,034,469	11,034,469	2,954,291	0	0	1,872,440	8,080,178	9,446,537
55	93	0	10,053,063	11,320,113	11,320,113	11,320,113	3,008,747	0	0	1,990,641	8,311,366	9,702,912
56	94	0	10,405,402	11,605,203	11,605,203	11,605,203	3,064,347	0	0	2,110,259	8,540,856	9,958,116
57	95	0	10,766,963	11,890,118	11,890,118	11,890,118	3,121,112	0	0	2,233,299	8,769,006	10,212,520
58	96	0	11,145,125	12,175,171	12,175,171	12,175,171	3,179,060	0	0	2,363,410	8,996,111	10,466,426
59	97	0	11,553,009	12,460,716	12,460,716	12,460,716	3,238,213	0	0	2,507,098	9,222,503	10,720,177
60	98	0	12,013,304	12,745,972	12,745,972	12,745,972	3,298,591	0	0	2,675,625	9,447,381	10,972,979
61	99	0	12,567,975	13,027,955	13,027,955	13,027,955	3,360,217	0	0	2,889,837	9,667,738	11,221,838
62	100	0	13,299,604	13,299,604	13,299,604	13,299,604	3,423,111	0	0	3,190,782	9,876,493	11,459,682

¹ Any claim on the refundable tax on hand (RDTOH) credit is included in the calculation of these values. Please consult your advisor for additional details.

IMMEDIATE FINANCE ARRANGEMENT STRATEGY

CASH FLOW SUMMARY

This ledger provides a year-by-year projection of the strategy's annual cash flows during the lifetime of the insured person. It highlights the net cash position after insurance policy payments, loans, policy withdrawals, policy loans, and tax deductions are realized.

IFA Strategy									
Policy year	Age	Premiums paid from cash flow	Beginning of year loan advance	Annual loan interest paid from cash flow	Tax savings realized this year	Net income required to use deductions	Net interest paid	End of year loan advance	Net cash outlay
1	39	118,400	118,400	4,736	0	4,787	4,736	4,736	0
2	40	118,400	118,400	9,661	2,406	9,788	7,255	7,255	0
3	41	118,400	118,400	14,688	4,920	14,908	9,767	9,767	0
4	42	118,400	118,400	19,814	7,494	20,156	12,320	12,320	0
5	43	118,400	118,400	25,043	10,133	25,531	14,911	14,911	0
6	44	118,400	118,400	30,376	12,834	31,045	17,541	17,541	0
7	45	118,400	118,400	35,813	15,607	36,708	20,207	20,207	0
8	46	118,400	118,400	41,357	18,453	42,525	22,904	22,904	0
9	47	118,400	118,400	47,010	21,377	48,493	25,632	25,632	0
10	48	118,400	118,400	52,771	24,378	54,638	28,393	28,393	0
11	49	0	0	53,907	27,466	56,059	26,440	26,440	0
12	50	0	0	54,964	28,181	57,440	26,783	26,783	0
13	51	0	0	56,036	28,875	58,873	27,160	27,160	0
14	52	0	0	57,122	29,595	60,382	27,527	27,527	0
15	53	0	0	58,223	30,354	61,945	27,869	27,869	0
16	54	0	0	59,338	31,140	63,607	28,198	28,198	0
17	55	0	0	60,466	31,975	65,181	28,490	28,490	0
18	56	0	0	61,605	32,766	66,839	28,839	28,839	0
19	57	0	0	62,759	33,600	68,560	29,159	29,159	0
20	58	0	0	63,925	34,465	70,355	29,460	29,460	0
21	59	0	0	65,104	35,367	72,246	29,736	29,736	0
22	60	0	0	66,293	36,318	74,244	29,975	29,975	0
23	61	0	0	67,492	37,323	76,348	30,170	30,170	0
24	62	0	0	68,699	38,380	78,356	30,319	30,319	0
25	63	0	0	69,912	39,390	79,665	30,522	30,522	0
26	64	0	0	71,133	40,048	80,975	31,085	31,085	0
27	65	0	0	72,376	40,706	82,302	31,670	31,670	0
28	66	0	0	73,643	41,373	83,645	32,270	32,270	0
29	67	0	0	74,934	42,048	85,006	32,885	32,885	0
30	68	0	0	76,249	42,732	86,385	33,517	33,517	0
31	69	0	0	77,590	43,426	90,438	34,164	34,164	0
32	70	0	0	78,956	45,463	91,777	33,493	33,493	0
33	71	0	0	80,296	46,137	93,080	34,159	34,159	0
34	72	0	0	81,662	46,791	94,400	34,871	34,871	0
35	73	0	0	83,057	47,455	95,739	35,603	35,603	0
36	74	0	0	84,481	48,128	97,098	36,353	36,353	0
37	75	0	0	85,935	48,811	98,479	37,124	37,124	0
38	76	0	0	87,420	49,505	99,882	37,915	37,915	0
39	77	0	0	88,937	50,211	101,310	38,726	38,726	0
40	78	0	0	90,486	50,928	102,763	39,558	39,558	0
41	79	0	0	92,068	51,659	104,243	40,409	40,409	0
42	80	0	0	93,685	52,403	105,751	41,282	41,282	0

IMMEDIATE FINANCE ARRANGEMENT STRATEGY

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This ledger provides a year-by-year projection of the strategy's annual cash flows during the lifetime of the insured person. It highlights the net cash position after insurance policy payments, loans, policy withdrawals, policy loans, and tax deductions are realized.

IFA Strategy									
Policy year	Age	Premiums paid from cash flow	Beginning of year loan advance	Annual loan interest paid from cash flow	Tax savings realized this year	Net income required to use deductions	Net interest paid	End of year loan advance	Net cash outlay
43	81	0	0	95,336	53,161	107,287	42,175	42,175	0
44	82	0	0	97,023	53,933	108,854	43,090	43,090	0
45	83	0	0	98,747	54,721	110,455	44,026	44,026	0
46	84	0	0	100,508	55,526	112,093	44,982	44,982	0
47	85	0	0	102,307	56,349	113,769	45,958	45,958	0
48	86	0	0	104,145	57,192	115,486	46,954	46,954	0
49	87	0	0	106,023	58,055	117,245	47,969	47,969	0
50	88	0	0	107,942	58,939	119,048	49,003	49,003	0
51	89	0	0	109,902	59,846	120,898	50,057	50,057	0
52	90	0	0	111,905	60,776	122,797	51,129	51,129	0
53	91	0	0	113,950	61,730	124,746	52,220	52,220	0
54	92	0	0	116,039	62,710	126,748	53,329	53,329	0
55	93	0	0	118,172	63,716	128,803	54,456	54,456	0
56	94	0	0	120,350	64,749	130,912	55,601	55,601	0
57	95	0	0	122,574	65,809	133,074	56,765	56,765	0
58	96	0	0	124,844	66,896	135,289	57,948	57,948	0
59	97	0	0	127,162	68,010	137,557	59,153	59,153	0
60	98	0	0	129,529	69,150	139,880	60,378	60,378	0
61	99	0	0	131,944	70,318	142,261	61,626	61,626	0
62	100	0	0	134,409	71,514	144,704	62,894	62,894	0

TAX SUMMARY

This ledger provides a year-by-year projection of the strategy's tax implications during the lifetime of the insured person. It highlights the tax savings that may be realized if the loan proceeds are eligible for tax deduction.

IFA Strategy									
Policy year	Age	Annual loan interest	Tax savings (loan interest)	Lesser of premiums & NCI	Loan to death benefit ratio	Collateral insurance deduction	Tax savings (insurance deduction)	Income required for deductions	Total tax savings
1	39	4,736	2,381	2,170	2.33%	51	25	4,787	2,406
2	40	9,661	4,857	2,825	4.48%	127	64	9,788	4,920
3	41	14,688	7,383	3,404	6.46%	220	111	14,908	7,494
4	42	19,814	9,961	4,121	8.30%	342	172	20,156	10,133
5	43	25,043	12,589	4,869	10.01%	488	245	25,531	12,834
6	44	30,376	15,270	5,765	11.62%	670	337	31,045	15,607
7	45	35,813	18,003	6,816	13.13%	895	450	36,708	18,453
8	46	41,357	20,790	8,028	14.54%	1,168	587	42,525	21,377
9	47	47,010	23,632	9,341	15.88%	1,484	746	48,493	24,378
10	48	52,771	26,528	10,886	17.15%	1,867	938	54,638	27,466
11	49	53,907	27,099	12,272	17.54%	2,152	1,082	56,059	28,181
12	50	54,964	27,631	13,813	17.92%	2,476	1,245	57,440	28,875
13	51	56,036	28,169	15,504	18.30%	2,837	1,426	58,873	29,595
14	52	57,122	28,715	17,465	18.67%	3,260	1,639	60,382	30,354
15	53	58,223	29,269	19,565	19.02%	3,722	1,871	61,945	31,140
16	54	59,338	29,829	22,043	19.37%	4,269	2,146	63,607	31,975
17	55	60,466	30,396	23,933	19.70%	4,715	2,370	65,181	32,766
18	56	61,605	30,969	26,139	20.02%	5,233	2,631	66,839	33,600
19	57	62,759	31,549	28,535	20.33%	5,801	2,916	68,560	34,465
20	58	63,925	32,135	31,173	20.62%	6,429	3,232	70,355	35,367
21	59	65,104	32,728	34,163	20.91%	7,142	3,590	72,246	36,318
22	60	66,293	33,326	37,555	21.17%	7,951	3,997	74,244	37,323
23	61	67,492	33,928	41,340	21.42%	8,856	4,452	76,348	38,380
24	62	68,699	34,535	44,600	21.65%	9,657	4,855	78,356	39,390
25	63	69,912	35,145	44,600	21.87%	9,753	4,903	79,665	40,048
26	64	71,133	35,758	44,600	22.07%	9,843	4,948	80,975	40,706
27	65	72,376	36,383	44,600	22.25%	9,926	4,990	82,302	41,373
28	66	73,643	37,020	44,600	22.43%	10,002	5,028	83,645	42,048
29	67	74,934	37,669	44,600	22.58%	10,072	5,063	85,006	42,732
30	68	76,249	38,330	44,600	22.73%	10,136	5,095	86,385	43,426
31	69	77,590	39,004	40,000	32.12%	12,848	6,459	90,438	45,463
32	70	78,956	39,691	40,000	32.05%	12,821	6,445	91,777	46,137
33	71	80,296	40,365	40,000	31.96%	12,784	6,427	93,080	46,791
34	72	81,662	41,052	40,000	31.84%	12,737	6,403	94,400	47,455
35	73	83,057	41,753	40,000	31.70%	12,682	6,375	95,739	48,128
36	74	84,481	42,469	40,000	31.54%	12,617	6,343	97,098	48,811
37	75	85,935	43,200	40,000	31.36%	12,543	6,306	98,479	49,505
38	76	87,420	43,946	40,000	31.15%	12,462	6,264	99,882	50,211
39	77	88,937	44,709	40,000	30.93%	12,373	6,220	101,310	50,928
40	78	90,486	45,487	40,000	30.69%	12,277	6,172	102,763	51,659
41	79	92,068	46,283	40,000	30.44%	12,175	6,120	104,243	52,403
42	80	93,685	47,095	40,000	30.17%	12,066	6,066	105,751	53,161

TAX SUMMARY

This ledger provides a year-by-year projection of the strategy's tax implications during the lifetime of the insured person. It highlights the tax savings that may be realized if the loan proceeds are eligible for tax deduction.

IFA Strategy									
Policy year	Age	Annual loan interest	Tax savings (loan interest)	Lesser of premiums & NCI	Loan to death benefit ratio	Collateral insurance deduction	Tax savings (insurance deduction)	Income required for deductions	Total tax savings
43	81	95,336	47,925	40,000	29.88%	11,951	6,008	107,287	53,933
44	82	97,023	48,773	40,000	29.58%	11,831	5,947	108,854	54,721
45	83	98,747	49,640	40,000	29.27%	11,708	5,886	110,455	55,526
46	84	100,508	50,525	40,000	28.96%	11,585	5,824	112,093	56,349
47	85	102,307	51,430	40,000	28.66%	11,462	5,762	113,769	57,192
48	86	104,145	52,354	40,000	28.35%	11,340	5,701	115,486	58,055
49	87	106,023	53,298	40,000	28.05%	11,221	5,641	117,245	58,939
50	88	107,942	54,263	40,000	27.77%	11,106	5,583	119,048	59,846
51	89	109,902	55,248	40,000	27.49%	10,996	5,528	120,898	60,776
52	90	111,905	56,254	40,000	27.23%	10,892	5,476	122,797	61,730
53	91	113,950	57,283	40,000	26.99%	10,797	5,427	124,746	62,710
54	92	116,039	58,333	40,000	26.77%	10,709	5,384	126,748	63,716
55	93	118,172	59,405	40,000	26.58%	10,632	5,344	128,803	64,749
56	94	120,350	60,500	40,000	26.40%	10,562	5,310	130,912	65,809
57	95	122,574	61,618	40,000	26.25%	10,500	5,278	133,074	66,896
58	96	124,844	62,759	40,000	26.11%	10,444	5,250	135,289	68,010
59	97	127,162	63,925	40,000	25.99%	10,395	5,226	137,557	69,150
60	98	129,529	65,114	40,000	25.88%	10,352	5,204	139,880	70,318
61	99	131,944	66,328	40,000	25.79%	10,317	5,186	142,261	71,514
62	100	134,409	67,567	40,000	25.74%	10,295	5,175	144,704	72,743

IMMEDIATE FINANCE ARRANGEMENT STRATEGY

EXCESS CDA

This ledger provides a year-by-year projection of the tax-free benefit provided by the excess CDA credit. It also highlights the potential tax savings for the estate assuming the corporation utilizes the unused excess CDA credit that remains once the loan has been paid and net strategy proceeds have been issued as a dividend. It is assumed the corporation has retained earnings or excess income equal to the amount of available unused excess CDA.

IFA Strategy											
Policy year	Age	Policy death benefit	Outstanding loan balance	Net to corporation on death	CDA credit	Net to estate on death ¹	Excess CDA credit	Unused excess CDA credit	Retained earnings or excess income required	Tax savings on unused excess CDA	Total strategy proceeds to estate ¹
1	39	5,276,903	123,136	5,153,767	5,160,673	5,153,767	6,906	6,906	6,906	3,194	5,156,961
2	40	5,555,138	248,791	5,306,347	5,323,333	5,306,347	16,986	16,986	16,986	7,856	5,314,203
3	41	5,834,979	376,958	5,458,021	5,488,178	5,458,021	30,157	30,157	30,157	13,948	5,471,968
4	42	6,116,673	507,679	5,608,994	5,655,593	5,608,994	46,599	46,599	46,599	21,552	5,630,546
5	43	6,400,453	640,989	5,759,464	5,825,842	5,759,464	66,378	66,378	66,378	30,700	5,790,164
6	44	6,686,419	776,931	5,909,488	5,999,173	5,909,488	89,685	89,685	89,685	41,479	5,950,968
7	45	6,975,046	915,537	6,059,509	6,176,216	6,059,509	116,707	116,707	116,707	53,977	6,113,486
8	46	7,266,627	1,056,842	6,209,785	6,357,425	6,209,785	147,640	147,640	147,640	68,283	6,278,069
9	47	7,561,320	1,200,874	6,360,446	6,543,059	6,360,446	182,613	182,613	182,613	84,459	6,444,905
10	48	7,859,621	1,347,667	6,511,954	6,733,845	6,511,954	221,891	221,891	221,891	102,625	6,614,578
11	49	7,834,293	1,374,108	6,460,185	6,720,789	6,460,185	260,604	260,604	260,604	120,529	6,580,714
12	50	7,815,503	1,400,891	6,414,612	6,715,812	6,414,612	301,200	301,200	301,200	139,305	6,553,917
13	51	7,803,127	1,428,052	6,375,075	6,718,940	6,375,075	343,865	343,865	343,865	159,037	6,534,113
14	52	7,797,198	1,455,578	6,341,620	6,730,476	6,341,620	388,856	388,856	388,856	179,846	6,521,466
15	53	7,797,735	1,483,447	6,314,288	6,750,578	6,314,288	436,290	436,290	436,290	201,784	6,516,072
16	54	7,804,780	1,511,645	6,293,135	6,779,666	6,293,135	486,531	486,531	486,531	225,021	6,518,156
17	55	7,817,669	1,540,136	6,277,533	6,816,488	6,277,533	538,955	538,955	538,955	249,266	6,526,800
18	56	7,836,410	1,568,975	6,267,435	6,861,368	6,267,435	593,933	593,933	593,933	274,694	6,542,129
19	57	7,861,008	1,598,134	6,262,874	6,914,501	6,262,874	651,627	651,627	651,627	301,377	6,564,252
20	58	7,891,416	1,627,594	6,263,822	6,976,081	6,263,822	712,259	712,259	712,259	329,420	6,593,242
21	59	7,927,717	1,657,330	6,270,387	7,046,546	6,270,387	776,159	776,159	776,159	358,974	6,629,360
22	60	7,969,776	1,687,306	6,282,470	7,126,159	6,282,470	843,689	843,689	843,689	390,206	6,672,676
23	61	8,017,634	1,717,475	6,300,159	7,215,357	6,300,159	915,198	915,198	915,198	423,279	6,723,438
24	62	8,071,647	1,747,794	6,323,853	7,314,977	6,323,853	991,124	991,124	991,124	458,395	6,782,248
25	63	8,132,035	1,778,316	6,353,719	7,425,650	6,353,719	1,071,931	1,071,931	1,071,931	495,768	6,849,487
26	64	8,198,968	1,809,401	6,389,567	7,548,079	6,389,567	1,158,512	1,158,512	1,158,512	535,812	6,925,379
27	65	8,272,690	1,841,071	6,431,619	7,683,125	6,431,619	1,251,506	1,251,506	1,251,506	578,822	7,010,440
28	66	8,353,325	1,873,341	6,479,984	7,831,608	6,479,984	1,351,624	1,351,624	1,351,624	625,126	7,105,110
29	67	8,440,778	1,906,226	6,534,552	7,994,204	6,534,552	1,459,652	1,459,652	1,459,652	675,089	7,209,641
30	68	8,535,453	1,939,743	6,595,710	8,172,159	6,595,710	1,576,449	1,576,449	1,576,449	729,108	7,324,818
31	69	6,145,330	1,973,907	4,171,423	5,829,110	4,171,423	1,657,687	1,657,687	1,657,687	766,680	4,938,103
32	70	6,262,784	2,007,400	4,255,384	5,998,183	4,255,384	1,742,799	1,742,799	1,742,799	806,045	5,061,428
33	71	6,387,873	2,041,560	4,346,313	6,179,844	4,346,313	1,833,531	1,833,531	1,833,531	848,008	5,194,321
34	72	6,520,791	2,076,431	4,444,360	6,374,665	4,444,360	1,930,305	1,930,305	1,930,305	892,766	5,337,126
35	73	6,661,676	2,112,033	4,549,643	6,583,237	4,549,643	2,033,594	2,033,594	2,033,594	940,537	5,490,180
36	74	6,811,082	2,148,387	4,662,695	6,806,530	4,662,695	2,143,835	2,143,835	2,143,835	991,524	5,654,219
37	75	6,969,496	2,185,511	4,783,985	6,969,496	4,783,985	2,185,511	2,185,511	2,185,511	1,010,799	5,794,784
38	76	7,136,931	2,223,426	4,913,505	7,136,931	4,913,505	2,223,426	2,223,426	2,223,426	1,028,334	5,941,840
39	77	7,313,468	2,262,152	5,051,316	7,313,468	5,051,316	2,262,152	2,262,152	2,262,152	1,046,245	6,097,561
40	78	7,499,288	2,301,710	5,197,578	7,499,288	5,197,578	2,301,710	2,301,710	2,301,710	1,064,541	6,262,119
41	79	7,694,908	2,342,119	5,352,789	7,694,908	5,352,789	2,342,119	2,342,119	2,342,119	1,083,230	6,436,019

EXCESS CDA

This ledger provides a year-by-year projection of the tax-free benefit provided by the excess CDA credit. It also highlights the potential tax savings for the estate assuming the corporation utilizes the unused excess CDA credit that remains once the loan has been paid and net strategy proceeds have been issued as a dividend. It is assumed the corporation has retained earnings or excess income equal to the amount of available unused excess CDA.

IFA Strategy											
Policy year	Age	Policy death benefit	Outstanding loan balance	Net to corporation on death	CDA credit	Net to estate on death ¹	Excess CDA credit	Unused excess CDA credit	Retained earnings or excess income required	Tax savings on unused excess CDA	Total strategy proceeds to estate ¹
42	80	7,901,187	2,383,401	5,517,786	7,901,187	5,517,786	2,383,401	2,383,401	2,383,401	1,102,323	6,620,109
43	81	8,118,590	2,425,576	5,693,014	8,118,590	5,693,014	2,425,576	2,425,576	2,425,576	1,121,829	6,814,843
44	82	8,346,551	2,468,666	5,877,885	8,346,551	5,877,885	2,468,666	2,468,666	2,468,666	1,141,758	7,019,643
45	83	8,584,252	2,512,692	6,071,560	8,584,252	6,071,560	2,512,692	2,512,692	2,512,692	1,162,120	7,233,680
46	84	8,830,913	2,557,674	6,273,239	8,830,913	6,273,239	2,557,674	2,557,674	2,557,674	1,182,924	7,456,163
47	85	9,086,068	2,603,632	6,482,436	9,086,068	6,482,436	2,603,632	2,603,632	2,603,632	1,204,180	7,686,616
48	86	9,349,261	2,650,585	6,698,676	9,349,261	6,698,676	2,650,585	2,650,585	2,650,585	1,225,896	7,924,571
49	87	9,619,350	2,698,554	6,920,796	9,619,350	6,920,796	2,698,554	2,698,554	2,698,554	1,248,081	8,168,877
50	88	9,895,511	2,747,558	7,147,953	9,895,511	7,147,953	2,747,558	2,747,558	2,747,558	1,270,745	8,418,699
51	89	10,176,783	2,797,614	7,379,169	10,176,783	7,379,169	2,797,614	2,797,614	2,797,614	1,293,897	8,673,065
52	90	10,461,310	2,848,743	7,612,567	10,461,310	7,612,567	2,848,743	2,848,743	2,848,743	1,317,544	8,930,111
53	91	10,747,761	2,900,963	7,846,798	10,747,761	7,846,798	2,900,963	2,900,963	2,900,963	1,341,695	9,188,494
54	92	11,034,469	2,954,291	8,080,178	11,034,469	8,080,178	2,954,291	2,954,291	2,954,291	1,366,360	9,446,537
55	93	11,320,113	3,008,747	8,311,366	11,320,113	8,311,366	3,008,747	3,008,747	3,008,747	1,391,545	9,702,912
56	94	11,605,203	3,064,347	8,540,856	11,605,203	8,540,856	3,064,347	3,064,347	3,064,347	1,417,261	9,958,116
57	95	11,890,118	3,121,112	8,769,006	11,890,118	8,769,006	3,121,112	3,121,112	3,121,112	1,443,514	10,212,520
58	96	12,175,171	3,179,060	8,996,111	12,175,171	8,996,111	3,179,060	3,179,060	3,179,060	1,470,315	10,466,426
59	97	12,460,716	3,238,213	9,222,503	12,460,716	9,222,503	3,238,213	3,238,213	3,238,213	1,497,673	10,720,177
60	98	12,745,972	3,298,591	9,447,381	12,745,972	9,447,381	3,298,591	3,298,591	3,298,591	1,525,598	10,972,979
61	99	13,027,955	3,360,217	9,667,738	13,027,955	9,667,738	3,360,217	3,360,217	3,360,217	1,554,100	11,221,838
62	100	13,299,604	3,423,111	9,876,493	13,299,604	9,876,493	3,423,111	3,423,111	3,423,111	1,583,189	11,459,682

¹ Any claim on the refundable tax on hand (RDTOH) credit is included in the calculation of these values. Please consult your advisor for additional details.

LOAN AND SENSITIVITY ANALYSIS

This ledger provides a year-by-year projection of the strategy's values at loan interest rates of +1% and +2%. It highlights the impact on key values if loan interest rates are higher than assumed.

IFA Strategy														
Policy year	Age	Begin year loan advance	Loan rate plus 1%						Loan rate plus 2%					
			Interest after deductions	End year loan advance	Net cash outlay	Loan balance	Additional collateral	Net to estate	Interest after deductions	End year loan advance	Net cash outlay	Loan balance	Additional collateral	Net to estate
1	39	118,400	5,920	5,920	0	124,320	66,224	5,152,583	7,104	7,104	0	125,504	67,540	5,151,399
2	40	118,400	9,134	9,134	0	251,854	130,845	5,303,284	11,037	11,037	0	254,941	134,275	5,300,197
3	41	118,400	12,348	12,348	0	382,602	193,540	5,452,377	14,979	14,979	0	388,320	199,893	5,446,659
4	42	118,400	15,632	15,632	0	516,633	254,077	5,600,040	19,029	19,029	0	525,748	264,205	5,590,925
5	43	118,400	18,984	18,984	0	654,017	304,158	5,746,436	23,187	23,187	0	667,336	318,956	5,733,117
6	44	118,400	22,409	22,409	0	794,827	348,162	5,891,592	27,460	27,460	0	813,196	368,572	5,873,223
7	45	118,400	25,902	25,902	0	939,129	374,191	6,035,917	31,844	31,844	0	963,440	401,203	6,011,606
8	46	118,400	29,461	29,461	0	1,086,990	389,788	6,179,637	36,338	36,338	0	1,118,178	424,441	6,148,449
9	47	118,400	33,085	33,085	0	1,238,475	394,368	6,322,845	40,943	40,943	0	1,277,521	437,753	6,283,799
10	48	118,400	36,777	36,777	0	1,393,652	387,392	6,465,969	45,664	45,664	0	1,441,585	440,651	6,418,036
11	49	0	34,607	34,607	0	1,428,259	347,362	6,406,034	43,388	43,388	0	1,484,973	410,377	6,349,320
12	50	0	35,259	35,259	0	1,463,518	297,495	6,351,985	44,448	44,448	0	1,529,421	370,721	6,286,082
13	51	0	35,976	35,976	0	1,499,494	237,538	6,303,633	45,617	45,617	0	1,575,038	321,475	6,228,089
14	52	0	36,691	36,691	0	1,536,186	167,094	6,261,012	46,799	46,799	0	1,621,836	262,261	6,175,362
15	53	0	37,390	37,390	0	1,573,575	85,714	6,224,160	47,978	47,978	0	1,669,814	192,646	6,127,921
16	54	0	38,082	38,082	0	1,611,657	50,482	6,193,123	49,165	49,165	0	1,718,979	169,728	6,085,801
17	55	0	38,743	38,743	0	1,650,400	11,835	6,167,269	50,333	50,333	0	1,769,312	143,959	6,048,357
18	56	0	39,471	39,471	0	1,689,871	0	6,146,539	51,588	51,588	0	1,820,900	115,259	6,015,510
19	57	0	40,177	40,177	0	1,730,049	0	6,130,959	52,835	52,835	0	1,873,735	83,516	5,987,273
20	58	0	40,871	40,871	0	1,770,919	0	6,120,497	54,083	54,083	0	1,927,818	48,479	5,963,598
21	59	0	41,545	41,545	0	1,812,464	0	6,115,253	55,325	55,325	0	1,983,143	10,071	5,944,574
22	60	0	42,185	42,185	0	1,854,648	0	6,115,128	56,546	56,546	0	2,039,689	0	5,930,087
23	61	0	42,783	42,783	0	1,897,431	0	6,120,203	57,734	57,734	0	2,097,423	0	5,920,211
24	62	0	43,337	43,337	0	1,940,768	0	6,130,879	58,888	58,888	0	2,156,311	0	5,915,336
25	63	0	43,956	43,956	0	1,984,724	0	6,147,311	60,127	60,127	0	2,216,437	0	5,915,598
26	64	0	44,983	44,983	0	2,029,707	0	6,169,261	61,837	61,837	0	2,278,274	0	5,920,694
27	65	0	46,049	46,049	0	2,075,756	0	6,196,934	63,614	63,614	0	2,341,888	0	5,930,802
28	66	0	47,145	47,145	0	2,122,901	0	6,230,424	65,449	65,449	0	2,407,337	0	5,945,988
29	67	0	48,273	48,273	0	2,171,174	0	6,269,604	67,343	67,343	0	2,474,680	0	5,966,098
30	68	0	49,433	49,433	0	2,220,607	0	6,314,846	69,297	69,297	0	2,543,978	0	5,991,475
31	69	0	50,625	50,625	0	2,271,232	0	3,874,098	71,315	71,315	0	2,615,293	0	3,530,037
32	70	0	50,315	50,315	0	2,321,547	0	3,941,237	71,629	71,629	0	2,686,921	0	3,575,863
33	71	0	51,536	51,536	0	2,373,083	0	4,014,790	73,706	73,706	0	2,760,627	0	3,627,246
34	72	0	52,832	52,832	0	2,425,915	0	4,094,876	75,905	75,905	0	2,836,532	0	3,684,259
35	73	0	54,168	54,168	0	2,480,082	0	4,181,594	78,179	78,179	0	2,914,711	0	3,746,965
36	74	0	55,543	55,543	0	2,535,625	0	4,275,457	80,529	80,529	0	2,995,240	0	3,815,842
37	75	0	56,959	56,959	0	2,592,584	0	4,376,912	82,958	82,958	0	3,078,198	0	3,891,298
38	76	0	58,416	58,416	0	2,651,000	0	4,485,931	85,468	85,468	0	3,163,667	0	3,973,264
39	77	0	59,916	59,916	0	2,710,916	0	4,602,552	88,062	88,062	0	3,251,728	0	4,061,740
40	78	0	61,459	61,459	0	2,772,376	0	4,726,912	90,741	90,741	0	3,342,469	0	4,156,819
41	79	0	63,046	63,046	0	2,835,422	0	4,859,486	93,507	93,507	0	3,435,977	0	4,258,931
42	80	0	64,678	64,678	0	2,900,100	0	5,001,087	96,364	96,364	0	3,532,341	0	4,368,846
43	81	0	66,356	66,356	0	2,966,456	0	5,152,134	99,315	99,315	0	3,631,656	0	4,486,934
44	82	0	68,082	68,082	0	3,034,538	0	5,312,013	102,362	102,362	0	3,734,018	0	4,612,533

LOAN AND SENSITIVITY ANALYSIS

This ledger provides a year-by-year projection of the strategy's values at loan interest rates of +1% and +2%. It highlights the impact on key values if loan interest rates are higher than assumed.

IFA Strategy														
Policy year	Age	Begin year loan advance	Loan rate plus 1%						Loan rate plus 2%					
			Interest after deductions	End year loan advance	Net cash outlay	Loan balance	Additional collateral	Net to estate	Interest after deductions	End year loan advance	Net cash outlay	Loan balance	Additional collateral	Net to estate
45	83	0	69,854	69,854	0	3,104,392	0	5,479,860	105,507	105,507	0	3,839,525	0	4,744,727
46	84	0	71,675	71,675	0	3,176,067	0	5,654,846	108,752	108,752	0	3,948,277	0	4,882,636
47	85	0	73,543	73,543	0	3,249,609	0	5,836,459	112,099	112,099	0	4,060,376	0	5,025,692
48	86	0	75,458	75,458	0	3,325,068	0	6,024,193	115,549	115,549	0	4,175,925	0	5,173,336
49	87	0	77,423	77,423	0	3,402,491	0	6,216,859	119,105	119,105	0	4,295,030	0	5,324,320
50	88	0	79,436	79,436	0	3,481,927	0	6,413,584	122,769	122,769	0	4,417,799	0	5,477,712
51	89	0	81,499	81,499	0	3,563,427	0	6,613,356	126,544	126,544	0	4,544,343	0	5,632,440
52	90	0	83,612	83,612	0	3,647,039	0	6,814,271	130,432	130,432	0	4,674,775	0	5,786,535
53	91	0	85,775	85,775	0	3,732,814	0	7,014,947	134,435	134,435	0	4,809,210	0	5,938,551
54	92	0	87,989	87,989	0	3,820,803	0	7,213,666	138,554	138,554	0	4,947,764	0	6,086,705
55	93	0	90,253	90,253	0	3,911,056	0	7,409,057	142,794	142,794	0	5,090,558	0	6,229,555
56	94	0	92,570	92,570	0	4,003,626	0	7,601,577	147,157	147,157	0	5,237,715	0	6,367,488
57	95	0	94,940	94,940	0	4,098,565	0	7,791,553	151,646	151,646	0	5,389,361	0	6,500,757
58	96	0	97,366	97,366	0	4,195,931	0	7,979,240	156,267	156,267	0	5,545,629	0	6,629,542
59	97	0	99,849	99,849	0	4,295,781	0	8,164,935	161,025	161,025	0	5,706,654	0	6,754,062
60	98	0	102,392	102,392	0	4,398,173	0	8,347,799	165,923	165,923	0	5,872,577	0	6,873,395
61	99	0	104,996	104,996	0	4,503,168	0	8,524,787	170,966	170,966	0	6,043,543	0	6,984,412
62	100	0	107,660	107,660	0	4,610,828	0	8,688,776	176,156	176,156	0	6,219,699	0	7,079,905

KEY CONSIDERATIONS

There are many factors to take into consideration when thinking about the Immediate Finance Arrangement strategy. This list highlights the key considerations and suggested steps to help you address them. Please consult with your professional legal and tax advisors to ensure this strategy is suitable for you.

Collateral assignment considerations

Collateral assignment of the life insurance policy is a major component of the Immediate Finance Arrangement strategy. Although there are many benefits, there are certain considerations that apply to collateralizing the policy.

The <i>Income Tax Act of Canada</i> does not currently treat collateral loan proceeds as income, so these amounts are potentially tax free. Tax laws are subject to change and the tax treatment applicable to loans, interest deductibility, and life insurance policies may change between now and the time a loan is taken without any grandfathering provision.	Consult with your advisor to understand how a change in tax rates or rules may impact the values illustrated in this presentation.	The lender can limit the maximum amount that can be borrowed without requiring additional collateral to a percentage of the policy cash value. Any variation of actual policy performance from that illustrated in this presentation impacts this amount and the collateral required.	Review the Immediate Finance Arrangement strategy using different primary interest rates to view the effects of these changes on the collateral loan.
The ability to access the cash value of the policy in the future through a collateral loan is not guaranteed. It depends on the borrower's ability to qualify for the loan and the lender's willingness to issue the loan.	Consult with your advisor to understand the considerations and alternatives to collaterally assigning a life insurance policy.	The interest rate the borrower pays on the loan is not guaranteed and can fluctuate. Higher than expected interest rates may cause the loan-to-policy cash value percentage to exceed the maximum collateral percentage earlier than projected in this presentation. This may trigger a requirement for additional collateral.	Review the Immediate Finance Arrangement strategy using different primary interest rates to view the effects of these changes on the collateral loan.
Once a policy has been collaterally assigned, the policyowner cannot withdraw funds, take a policy loan, or make changes to the policy without either first receiving the lender's consent, or paying the loan balance.	Carefully consider and review these limitations when establishing the loan agreement.	Living longer than the maximum collateral age assumed in this presentation may result in a loan-to-policy cash value percentage that exceeds the maximum collateral percentage. The lender may require additional collateral to secure the loan.	Review the Immediate Finance Arrangement strategy using a specified loan amount that is less than the maximized loan amount and/or using a higher maximum collateral age to create a greater safety margin for living longer than expected.

IMMEDIATE FINANCE ARRANGEMENT STRATEGY

Collateral assignment considerations (continued)

If the loan-to-policy cash value percentage exceeds the maximum collateral percentage, the borrower may have to make payments to reduce the outstanding loan balance or pledge additional assets as collateral. If they are unable to meet this requirement, the lender will withdraw from the policy cash value or terminate the policy to repay the loan. This may result in a taxable disposition and the policyowner will be liable for any taxes payable.

Ensure that the borrower's financial position is sufficient to cover possible additional collateral requirements in the future.

A steady, strong cash flow or high retained earnings is critical for the successful implementation of this strategy. To make full use of these tax deductions, you must have a significant taxable income throughout the life of this strategy. There are inherent risks with all leveraging strategies.

Consult with your accountant, tax and legal advisors to ensure this strategy is appropriate for you and your business.

Interest on loans may be deductible only if all conditions for deductibility are satisfied. Loan interest must be paid and the proceeds of the loan must be invested to earn income from a business or property.

Consult with your legal and tax advisors to confirm the applicability of interest deductibility to your situation.

When interest on loans is being deducted, the borrower may be able to deduct the lesser of the premiums it pays for the life insurance policy and the policy's net cost of pure insurance (NCPI), as it relates to the amount owing during the year. To qualify for premium/NCPI deductibility, collateral assignment of the policy must be required by the lender as a condition of receiving the loan and the lender must be a qualified financial institution.

Consult with your legal and tax advisors to confirm the applicability of premium/NCPI deductibility to your situation.

IMMEDIATE FINANCE ARRANGEMENT STRATEGY

General considerations

The permanent life insurance policy figures shown in this presentation are based on specific assumptions and actual experience may differ. Unless otherwise indicated, life insurance values are not guaranteed and will vary over the life of a policy, affecting the values illustrated in this presentation.

Refer to the Statement of variability section of the product illustration for an understanding of how insurance policy values vary under different interest rate assumptions.

During the lifetime of the insured person, the outstanding loan balance may be greater than the after-tax cash value of the insurance policy. If the policy is cancelled, additional assets may be required to settle the remaining loan balance. The Immediate Finance Arrangement strategy is intended to be in place for the entire life of the insured person.

Ensure you have a long-term planning view to maximize the benefits of the Immediate Finance Arrangement strategy.

The General Anti Avoidance Rules (GAAR) may apply to any transaction that attempts to avoid taxes. Specifically, sub-section 245(3) of the Income Tax Act defines an avoidance transaction as any transaction "that but for this section, would result, directly or indirectly, in a tax benefit, unless the transaction may reasonable be considered to have been undertaken or arranged primarily for bona fide purposes other than to obtain the tax benefit."

Consult with your legal and tax advisors to ensure that the strategy is not implemented primarily for the purpose of obtaining a tax benefit.

Corporate-owned life insurance will increase the value of the corporation's shares. The value of the policy will be determined based on the cash value of the policy immediately before death, or valuation principles set out by the Canada Revenue Agency depending on the circumstances. As a passive asset, this may impact eligibility for the Lifetime Capital Gains Exemption.

Consult with your legal and tax advisors to understand the impact that corporate owned life insurance will have on capital gains and the Lifetime Capital Gains Exemption.

This presentation is based on values from the permanent life insurance illustration with the same date accompanying this presentation.

Read this presentation together with the product illustration, as it is incomplete without it.

The tax treatment used in this presentation is based on the Income Tax Act of Canada and is not guaranteed as tax laws are subject to change.

Consult with your advisor to understand how a change in tax rates or rules may impact the values illustrated in this presentation.